Religare Housing Development Finance Corporation Limited

November 05, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Long-term bank facilities	RBI	500.00	CARE BBB-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of the long-term rating of bank facilities of Religare Housing Development Finance Corporation Limited (RHDFCL) considers the strong support from its ultimate parent with classification of Burman Group as promoter of Religare Enterprises Limited. The rating also considers the comfortable capitalisation levels of RHDFCL, with capital adequacy ratio (CAR) of 129.7% as on March 31, 2026.

On July 11, 2025, Religare Enterprises Limited (REL), the step-up holding company of RHDFCL, had announced its intention to raise ₹1,500 crore through the issuance of convertible warrants on a preferential basis. Of the funds raised, REL has infused ₹21.5 crore of debt in RHDFCL till H1FY27. The continued commitment of the Burman group to infuse additional capital into REL through conversion of remaining warrants is expected to enhance REL's financial flexibility and its subsidiaries, including RHDFCL, and further support their ability to access funding at competitive terms. CareEdge Ratings takes note of the various initiatives undertaken by REL's management across the group businesses, including the strengthening of Board oversight. CareEdge Ratings is also engaging with the ultimate promoters to understand their support stance and impact of these initiatives on the group.

However, the rating is constrained by its moderate scale of operations with assets under management (AUM) declining to ₹243.2 crore in March 26 compared to ₹250.5 crore in March 25. The rating is also constrained by its moderate, albeit, improving asset quality metrics and weak profitability profile.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Strengthening of linkages with ultimate promoters.
- Ability to diversify borrowing base and raise incremental funding at competitive rate.
- Sustained improvement in profitability profile while maintaining asset quality.

Negative factors

- Weakening linkages with the ultimate promoters or their support philosophy.
- Delay in raising resources, leading to a further decline in the portfolio size
- Significant deterioration in profitability or asset quality indicators.

Analytical approach: Standalone

CareEdge Ratings has analysed standalone credit profile of RHDFCL, factoring its linkages with the incoming promoters, Burman Group, through REL.

Outlook: Stable

The Stable outlook reflects CareEdge Ratings' expectation that the company will be able to profitably scale up its operations, while maintaining asset quality.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.
[2]Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Strong support of promotor group

Religare Finvest Limited, a wholly owned subsidiary of REL, holds an 87.5% stake in RHDFCL. RHDFCL is a step-down subsidiary of REL, and Burman Group has been designated as the promoter of REL. The Burman Group through four of its group entities and individually holding through, namely M.B. Finmart Private Limited, Puran Associates Private Limited, VIC Enterprises Private Limited, and Milky Investment & Trading Company, collectively 30.56% in REL as of June'26. The group is expected to infuse capital of ₹250 crore in H2FY27.

Comfortable capitalisation level

RHFDCL has a comfortable capitalisation profile with net worth of ₹177.8 crore and debt of ₹21.5 crore as on June 30, 2026. It reported CAR of 129.7% as on March 31, 2026, against 140.1% in March 2025. As it scales up its business, its gearing is expected to increase going forward, nonetheless the same is expected to remain adequate given the capital raise plans.

Key weaknesses

Moderate scale of operations with moderate asset quality metrics

The company has been operating for over a decade post its acquisition by the Religare group in 2009. RHDFCL specialises in affordable housing finance, offering loans with an average ticket size of ~₹11 lakh. As of March 31, 2026, home loans constituted the majority (67%) of RHDFCL's AUM, while loan against property (LAP) made up the remaining 33%. AUM declined to ₹243.2 crore as on March 31, 2026, from ₹250.5 crore as on March 31, 2025, owing to inability to raise resources to fund disbursement. In FY24 and FY25, the company entered co-lending arrangements with housing finance companies (HFCs) and non-banking financial companies (NBFCs) to grow its business volume, however, material growth is yet to be seen.

The company's GNPA remained stable at 3.5% as on March 31, 2026, from 3.6% as on March 31, 2025. The GNPA further increased to 4.4% as on June 30, 2026. Its GNPA ratio remains relatively high, considering declining scale. The company was carrying an adequate provision cover of 30.02% on its GNPA as on March 31, 2026 (26.1% as on June 30, 2026), against 25.6% as on March 31, 2025.

Weak profitability profile

The company's profitability profile has remained weak. The company reported a net loss of ₹18.5 crore in FY26, translating into a return on total assets (ROTA) of -8.7% and return on net worth (RONW) of -9.5%, against a net loss of ₹12.7 crore in FY25, translating into a ROTA of -5.56% and RONW of -6.10%. The company's profitability remains weak due to high operating expenses, owing to declining scale while the company retained its business teams for co-lending tie ups and has been incurring expenses on building information technology (IT) infrastructure. While its opex is expected to improve as it scales up its operations, CareEdge Ratings expects that the company's profitability to remain moderate in the near term as well. The company's ability to grow its business volumes profitably while improving its asset quality indicators will remain a monitorable, going forward.

Liquidity: Adequate

RHDFCL's liquidity profile is further supported by cash and bank balance and liquid investments of ₹3.3 crore as on June 30, 2026. As Per the asset liability management (ALM) statement as on June 30, 2026, there were no negative cumulative mismatches across time buckets. CareEdge Ratings notes that RHDFCL will continue to get support from its ultimate parent, REL to support liquidity and to fund growth in the portfolio. RHDFCL had ₹25 crore of undrawn sanction lines as on June 30, 2026, against nil debt obligations and scheduled collections of ₹35 crore in the next one year.

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

Definition of Default
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Housing Finance Companies
Notching by Factoring Linkages in Ratings

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

RHDFCL is an HFC-non-deposit-taking (HFC-ND) offering home loans and LAP to its customers belonging to low and medium-income groups. It was incorporated on June 30, 1993, with the name of 'Maharishi Housing Development Finance Corporation Limited'. The Religare group acquired it in May 2009 and changed its name to RHDFCL. The company provides loans for purchasing, improving, extending, and constructing houses under housing loans. As on March 31, 2026, the company has AUM of ₹243.2 crore with an average rate of interest (ROI) of 15%, average loan-to-value (LTV) of 50%, and a ticket size of ₹10.7 lakh.

Brief Financials (Standalone) (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	June 30, 2026 (UA)
Total income	32.3	30.2	7.8
Profit after tax (PAT)	-12.7	-18.5	-5.0
Assets under management (AUM)	250.5	243.2	247.1
On-book gearing (x)	0.0	0.06	0.12
AUM / tangible net-worth (TNW) (x)	1.2	1.3	1.4
Gross non-performing assets (NPA) / gross stage 3 (%)	3.6	3.5	4.4
Return on managed assets (ROMA) (%)	-4.3	6.9	7.7
Capital adequacy ratio (CAR) (%)	140.1	129.7	120.9

A: Audited; UA: Unaudited; Note: These are latest available financial results.

Status of non-cooperation with previous CRA:
Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Term Loan	RBI	NA	Proposed		-	-	500.00	CARE BBB-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	500.00	CARE BBB-; Stable	-	1)CARE BBB-; Stable (06-Aug-25)	1)CARE BB+; Stable (05-Jul-24)	1)CARE BB+; Negative (07-Aug-23) 2)CARE BB+; Stable (12-Jul-23)

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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